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Moldova: Consortium of Banks Emergency Liquidity Program, 2014¹

*Vincient Arnold*²

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Abstract

In the fall of 2014, a bank fraud involving illegal loans and transfers resulted in USD 1 billion being stolen from the government of Moldova, which amounted to more than an eighth of Moldova's GDP. In September 2014, it became clear to the National Bank of Moldova (NBM) that the banks involved in the fraud—Banca de Economii, Banca Sociala, and Unibank—were deeply insolvent and had been hiding that fact from regulators. In late November, the NBM issued 9.4 billion Moldovan lei (MDL; USD 640 million) in emergency credit to the banks at an interest rate of 10 basis points against collateral for a period of four months and took the banks into government administration. The central bank later said the banks were on the brink of collapse and that their disorderly failure could result in bank runs and contagion. In the two weeks between the government's secret decision on November 7 to support the banks with liquidity and the state administration intervention on November 27, the banks lent a further MDL 35.5 billion to connected companies through a flurry of complex transactions. In 2015, the NBM issued a second tranche of credit worth an aggregate MDL 5.0 billion. The government guaranteed the loans and, during 2015, took them over from the NBM. As of year-end 2022, the banks were still in the process of liquidation and had repaid an aggregate MDL 2.7 billion. They continued to owe MDL 11.4 billion, which the government is unlikely to recoup.

Keywords: ad hoc emergency liquidity, Banca de Economii, Banca Sociala, Moldova, Unibank

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study describes the provision of ad hoc emergency liquidity to three Moldovan banks.

In the years leading up to November 2014, three Moldovan banks lent billions of lei (MDL) to companies connected to their common controlling shareholder (The Economist 2015).³ The fraud involved three banks, Banca de Economii (BEM), Banca Sociala (BS), and Unibank (UB) (collectively, “the banks”)—which were controlled by one individual, Ilan Shor⁴—although government investigators believed he was working in concert with other Russian and Moldovan oligarchs, namely Moldovan oligarch Vladimir Plahotniuc⁵—relying on often false or fraudulent Russian bank deposits to make loans to companies controlled by Shor, which, in turn, laundered the loan proceeds through offshore bank accounts (Kroll 2017).⁶ By September 2014, according to a later report by the National Bank of Moldova (NBM), it became clear to the central bank that the three banks were insolvent and had been misrepresenting their financial health in their regulatory filings (NBM 2020). BEM was, at the time, 33.3% state-owned, and Moldovan authorities “coerced” deposits of state-owned entities into BEM to support it “well into late 2014” (IMF 2016a, 13; Kroll 2015, 32).

Key Terms

Purpose: “To ensure financial stability in case of danger of [a] developing systemic financial crisis” (NBM 2015c, 46)	
Announcement Date	Not applicable
Operational Date	November 27, 2014
Termination Date	October 16, 2015 (banks into liquidation)
Legal Authority	Law on the National Bank of Moldova No. 548-XIII
Administrator	National Bank of Moldova
Peak Authorization	MDL 14.4 billion (cumulative)
Peak Outstanding	MDL 14.1 billion
Collateral	Unknown
Haircut and Recourse	Unknown
Interest Rate and Fees	10 basis points
Term	Four months
Part of a Package	Repo financing; moratorium; resolution

(continued)

³ According to Yahoo Finance, USD 1 = MDL 14.70 on November 27, 2014.

⁴ Later in 2022, the US Department of the Treasury’s Office of Foreign Assets Control (OFAC) sanctioned Shor (and incidentally his wife) for being a malign actor of the Russian state for his efforts to subvert Moldovan democracy in the interests of the Russian government through collusion with Russian oligarchs (Treasury 2022). In 2023, the European Union (EU) also sanctioned Shor (Tanas 2023).

⁵ In 2022, OFAC later sanctioned Plahotniuc for engaging in “corruption, including the misappropriation of state assets, the expropriation of private assets for personal gain, corruption related to government contracts or the extraction of natural resources, or bribery” (Treasury 2022). In 2023, the EU also sanctioned Plahotniuc (Tanas 2023).

⁶ For more on the money laundering scheme and bank fraud, see (Kroll 2017). Because of the common control, the NBM often treated the banks as one consolidated entity (NBM 2020).

By November, the NBM assessed that the banks were on the brink of collapse and that their disorderly failure could result in bank runs and systemic contagion (NBM 2020).

After more than 20 meetings arranged by the prime minister in 2014 to address the risks the banks posed, the National Financial Stability Committee (NFSC), an advisory body,⁷ decided on November 7, 2014, that the position of the banks represented a threat to national systemic financial stability and recommended that the Moldovan state provide guarantees to NBM emergency lending in order to avoid a crisis. On November 13, 2014, the government approved⁸ the NFSC's proposal for MDL 9.4 billion in state guarantees for NBM emergency loans of the same size to licensed banks to ensure systemic financial stability (Inquiry Commission 2019; NBM 2020). The Moldovan government authorized the use of the emergency loans only to pay out the deposits of individuals or state agencies (Inquiry Commission 2019; NBM 2020).

However, it took two weeks for the NBM to act on the NFSC's recommendation. On November 27, the NBM issued emergency loans to BEM for MDL 5.3 billion and BEM to BS for MDL 2.8 billion (Inquiry Commission 2019). The NBM charged 10 basis points (bps) annually on the emergency loans,

Outcomes	The government repaid NBM for the loan in 2016, selling bonds to cover the cost; the government has since recovered MDL 2.7 billion but is unlikely to recoup the remaining balance of MDL 11.4 billion; Bank resolution and liquidation
Notable Features	Interest rate was concessional; lent to institutions that were insolvent after embezzlement; The state guaranteed the loans and took them over in October 2016; The former prime minister, the heads of the banks, a member of parliament, NBM special administrator of BEM, and governor of the NBM, among others, have been jailed, charged, sanctioned, or tried in court in connection with crimes related to the banking scandal generally and the ELA specifically; The government said the purpose of the loans was to pay depositors, but later investigations concluded most of the proceeds paid back interbank loans, some of which were vehicles of fraud

⁷ The NFSC, created in 2010, is a government crisis-management body composed of representatives of the Moldovan government; Parliamentary Commission on Economy, Budget and Finance; NBM; Ministry of Finance; Ministry of the Economy; Deposit Guarantee Fund; and National Commission for Financial Markets. It is chaired by the prime minister. The IMF said in 2014 that the NFSC members' responsibilities were unclear (IMF 2016b).

⁸ The Parliamentary Inquiry Commission referred numerous times to decisions related to the emergency loans as "secret." Our research was unable to uncover exactly how the Inquiry Commission used the term. The NBM disclosed the emergency loans in its annual report (see Key Design Decision No. 5, Governance). The Inquiry Commission said that the state guarantees were "undertaken in secret" and said that meetings of the National Financial Stability Committee were held in secret (Inquiry Commission 2019). The Inquiry Commission said that the government did not announce a financial crisis or danger of one, which it said violated the law (it did not specify which law, but Law No. 419 requires that state guarantees can be issued without parliamentary approval only if issued during a systemic crisis or risk of one) (Inquiry Commission 2019; Moldovan Parliament

while the average interest rate on NBM repurchase (repo) facility⁹ borrowing was 412 bps (NBM 2015c). The NBM put BEM and BS on special administration on November 27 and 28, respectively. During special administration, an NBM-appointed administrator took over management of the target bank, with the aim of minimizing losses and restoring the bank to health, while suspending the rights of shareholders, the board of directors, and executive management (BEM 2014; BEM 2015). In the days immediately before and after receiving the emergency loans (November 25–28), the banks made a number of the largest loans to related parties (about MDL 13.7 billion) owned by Shor that were not collectible and other transactions that, the government later alleged, supported money laundering (see Figure 2) (Prijmireanu et al. 2021). On November 30, the NBM loaned MDL 1.4 billion to UB on the same terms as its loans to BEM and BS (Inquiry Commission 2019).

On December 30, 2014, the NBM put UB under special administration (Inquiry Commission 2019). On April 3, 2015, the NBM extended a second tranche of credit under the same terms to BEM and UB for MDL 4 billion and MDL 1 billion, respectively (of which BEM used all MDL 4 billion and UB used MDL 0.8 billion) (NBM 2020). The NBM maintained the banks under special administration and ultimately withdrew their banking licenses in October 2015 (Inquiry Commission 2019; NBM 2015a).

On October 5, 2016, the banks had still not repaid MDL 13.3 billion of the emergency loans. In order to avoid the NBM taking losses, the Ministry of Finance issued MDL 13.3 billion in government bonds and used the resulting proceeds to pay off the NBM's losses from the emergency loans (NBM 2016). As of year-end 2022, the banks were still in the process of liquidation and had repaid a total of MDL 2.7 billion, with a remaining balance of MDL 11.4 billion (NBM 2023). Figure 1 shows the timeline of events occurring in the NBM's intervention in the banks.

Figure 1: Timeline of Key Events in Moldovan Banking Crisis, 2014–2015

Date ^A	Event
Aug. 28, 2014	The National Anticorruption Center proposes that the banks return Russian investments and urges the government to set up an intervention plan to mitigate the impacts of the banks' impending failure.
Sept. 25, 2014	The Moldovan government amends laws to allow the issuance of state securities to recapitalize banks and to allow the state guarantee of NBM lending to banks.
Sept. 30, 2014	The NBM drafts a contingency plan for the banks that shows their aggregate insolvency and estimates resolution costs.
Nov. 7, 2014	The NFSC recommends the Moldovan state provide guarantees to NBM emergency lending to avoid a crisis.

2006). The NBM did not release a press release about the emergency loans at the time they were approved or granted (see Key Design Decision No. 6, Communication).

⁹ The NBM's repo operations rate, which was equal to the monetary policy rate plus 25 bps, was the rate at which the NBM lent to commercial banks for 28 days in order to provide liquidity (NBM 2015c).

Nov. 13, 2014	The government approves the NFSC's proposal for MDL 9.4 billion in state guarantees for the NBM emergency loans.
Nov. 25–26, 2014	BEM's entire loan portfolio was transferred to BS in what the Inquiry Commission called a "fictitious" transaction for an issuance of USD 1 billion from BS and the repayment of loans at BEM. BS transfers the entire loan portfolio to a UK-registered company. BS transfers USD 956 million to five companies in the Shor Group. ^B
Nov. 27, 2014	• The NBM issues loans to BEM and BS for MDL 5.3 billion and MDL 2.8 billion, respectively. • BEM grants two loans using emergency loan funding.
Nov. 27–28, 2014	The NBM imposes a moratorium until March 27, 2015, on payment of interest on bank liabilities, bank shareholder share redemptions, enforcement of instruments pursuing bank assets, and legal or administrative proceedings against the banks made to obtain secure payment on deposits or other debts.
Nov. 28, 2014	• BEM moves MDL 11.2 billion (80.7% of BEM's total assets and 11.5% percent of total assets in the banking sector) to BS. • 2:00 pm: NBM places BS under special administration at 2:00 pm contrary to the NBM Council decision, which dictates that BEM special administration should begin at 8:00 pm on November 27.
Nov. 30, 2014	The NBM loans MDL 1.4 billion to UB on the same terms as its loans to BEM and BS.
Dec. 30, 2014	The NBM puts UB under special administration.
April 3, 2015	The NBM extends a second tranche of credit to the banks under the same terms.
Sept. 21, 2015	The NBM governor resigns after weeks of protests about the banks' scandal.
Oct. 16, 2015	The NBM withdraws the banking licenses of the banks and assigns liquidators to each bank.
Oct. 5, 2016	The Ministry of Finance issues MDL 13.3 billion in state securities to convert the state guarantee of emergency loans into public debt.

^A Some reporting surrounding the loans contradicts other dates. According to an NBM report on the legality of the emergency loans, the loans were made as follows: BEM – November 28; BS – December 1; UB – December 30.

^B The Shor Group owned and controlled the banks and the companies to which they lent in the money-laundering and bank fraud scheme that brought the banks to failure.

Sources: Inquiry Commission 2019; NBM 2020; author's analysis.

Summary Evaluation

In its 2014 Financial System Stability Assessment (FSAP), completed in June 2014, before the banking crisis, the IMF said that authorities—particularly the NFSC—had insufficient legal powers to address governance failures in financial institutions and that an inability to effectively identify ultimate beneficial ownership of banks resulted in systemic risk (IMF 2016b). In June 2013, both the World Bank and IMF recommended the recapitalization of BEM. In July 2013, the Minister of Finance requested the urgent convention of the NFSC in order to complete a state-led recapitalization of BEM, but the government never took action. Between January and October 2014, the World Bank and IMF had “repeatedly proposed to the National Bank to introduce special administration in the three banks, but those proposals

were ignored” (Inquiry Commission 2019). *The Economist* said in August 2015 that the bank crisis had left Moldova’s financial system “limping badly” (The Economist 2015).

Moldova’s intervention has received mixed reviews. In 2017, *The Economist* said that following the fallout from the crisis in 2015, Moldova had “coped remarkably well” and that the government deserved credit for its quick reaction with emergency loans (which it called a blanket deposit guarantee); it said that the government’s intervention “propped up consumption and investment” (The Economist 2017).

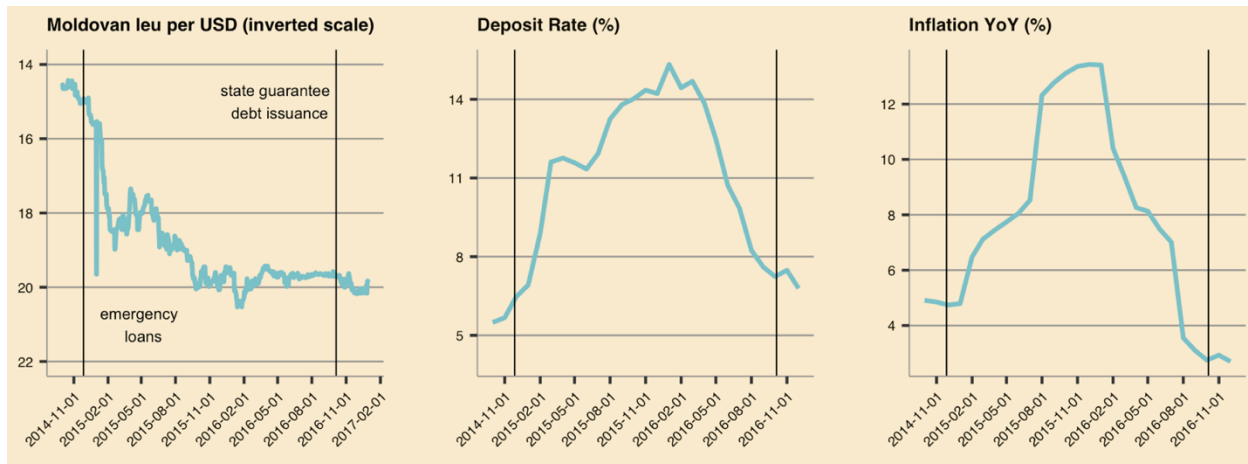
Non-governmental organizations and watchdogs have called Moldova a “captured state,” and cited the NBM as a politicized regulatory institution (Transparency International Moldova et al. 2017).

On June 10, 2019, the Moldovan Parliament established the Inquiry Commission to investigate the bank fraud and crisis of 2014, which led to a public report on the crisis. The Commission noted that, although the government said that the loans should be used only to make individual depositors whole, the amount the NBM extended far exceeded what was necessary for that purpose, and the loan funds were used primarily to pay down interbank deposits at BEM. The Inquiry Commission concluded that the use of the loan proceeds was “very suspicious,” citing the following breakdown of loan proceed uses: 64% for interbank loan repayments, 35% for legal entities holding deposits at BEM, and 1% for deposits of natural persons (Inquiry Commission 2019).

Between November 1, 2014, and February 18, 2015, the Moldovan leu fell 42% against the US dollar (Inquiry Commission 2019). At least one media report said that news of the bank scandal triggered a run on the leu, resulting in its rapid depreciation (Prime News 2015). The NBM said that the depreciation of the leu occurred, to some extent, against the backdrop of its special administration of the three banks and the negative market perceptions about the future exchange rate of the leu that the banking crisis had created. The NBM’s foreign exchange reserves declined USD 664 million (24%) in 2014 as a result of its efforts to defend the leu (NBM 2015b). To defend the leu, the NBM also hiked its refinancing rate from 350 bps in December 2014 to 1,950 bps by September 2015; this resulted in a credit contraction and economic recession.¹⁰ *The Economist* said that the increase in the money supply resulting from the NBM’s response to the crisis caused inflation to double and the currency to fall (Inquiry Commission 2019; The Economist 2015). Figure 2 shows the Moldovan leu’s exchange rate, inflation, and borrowing costs in Moldova in 2014 and 2015.

¹⁰ The recession was quite severe; in the summer of 2015, two public hospitals even cut all non-emergency departments (The Economist 2015).

Figure 2: Currency Depreciation, Inflation, and Borrowing Costs in Moldova, 2014–2015



Source: LSEG/Refinitiv.

By mid-June, 2015, the World Bank had suspended its budget support and said its aid would resume only when the three banks were closed since it saw them as fraud targets, even under NBM administration (Kremer 2015). In July 2015, the European Union froze its aid program to Moldova until Moldova obtained IMF guarantees to restore its macro-financial stability after the banking crisis (EU 2015).

The Inquiry Commission said that the government violated the law in failing to determine that the country faced a financial crisis. It also said that the government failed to establish repayment priorities with respect to the NBM emergency loans. Furthermore, the Commission said that the emergency loans were ultimately paid for by Moldovan taxpayers when the Ministry of Finance had to enact the state guarantee by raising debt and compensating the NBM for its exposure to the emergency loans (Inquiry Commission 2019).

The Inquiry Commission said that in the period between November 7 and 27, 2014, when the government had already decided to provide state guarantees of emergency loans from the NBM, the banks continued to operate under their existing management and lent a further MDL 25.5 billion to insider companies. The Commission said that in that period, the government and the NBM acted with abuse and gross negligence for failing to stop the banks from continuing their fraud. As of 2019, the Anticorruption Prosecutor's Office had opened a criminal case on that subject (Inquiry Commission 2019). According to Alexandru Slusari, the chairman of the Inquiry Commission, the NBM's leadership was to blame for making slow decisions that allowed the banks to continue lending even though they were on the brink of bankruptcy (Prijmireanu et al. 2021). The Inquiry Commission said that "civil society representatives" largely assigned blame for the theft from the banking system to the NBM and the government for (1) hiding problems at BEM; (2) selling government shares of BEM; and (3) issuing guarantees to cover losses incurred by the NBM in its financing of the banks (Inquiry Commission 2019).

With respect to the state guarantee, Moldovan then-civil society leader and opposition figure Maia Sandu (now president) said,

By [the] decision to put all debt on the shoulders of [the] population, which is already very poor, the government has admitted that it does not want to find those responsible for the theft of the billion and recover the money from the thieves (Transparency International Moldova et al. 2017, 43).

The Commission report's ultimate assessment of the efficacy of the emergency liquidity was very negative, with the report saying that the government contributed to the theft of money from Moldova by issuing guarantees of NBM lending, the result of which was MDL 25 billion in public debt (Inquiry Commission 2019).

Ultimately, Moldovan authorities made numerous arrests in connection with the bank fraud,¹¹ many of which were in relation to the NBM, its emergency liquidity, and the special administration associated with it (Transparency International Moldova et al. 2017). In 2016, Moldovan authorities charged former parliament member Veaceslav Platon with the theft of over USD 40 million from BEM (CCECC n.d.). In 2021, Moldovan authorities detained Ion Ropot, the NBM-appointed special administrator of BEM, on charges of fraud for using the state guarantee to allow the release of deposits to an offshore Panamanian company accused of involvement in bank fraud. Moldovan authorities detained all three former managers of the banks (Gulca 2021).

In 2022, Moldovan prosecutors charged then-NBM governor Dorin Dragutanu with complicity in fraud and money laundering in connection with the banking scandal. The prosecutors alleged that, even before the NBM loan, the NBM was aware that the banks were controlled by Shor and knowingly approved fraudulent transactions. Prosecutors alleged that Dragutanu and the NBM board of directors knew *ex ante* that interbank loans—the channel of embezzlement—would be made between the three banks after the emergency liquidity and state guarantee were issued, chose to delay special administration at BEM, and chose not to intervene to stop the fraud (Zaharescu 2023). In response to a question posed to him by a journalist about his knowledge of the bank fraud, Dragutanu said,

The theft was seen by the entire leadership of the Republic of Moldova, from the country's president down. There was nothing under the table. Including legal bodies, special bodies. It is not just about the National Bank (Zaharescu 2023).

In 2023, Moldovan judges ruled that Vladimir Plahotniuc—a key leader in supporting the state guarantee and the NBM emergency liquidity—must be tried in absentia (he fled the nation in 2019) for his alleged role in the bank fraud, including money laundering.

¹¹ Perhaps most politically salient among them, former prime minister Vlad Filat was sentenced to nine years in prison for acceptance of bribes from Shor in connection with his control of BEM, among other things. Authorities also arrested Shor and Veaceslav Platon (Transparency International Moldova et al. 2017). OFAC later sanctioned both Shor and Plahotniuc for corruption and being a malign actor for the Russian state, respectively, and a year later the EU also sanctioned both (Tanas 2023; Treasury 2022).

Prosecutors seized MDL 1 billion of Plahotniuc's assets in Moldova (Inquiry Commission 2019; Necsutu 2023).

In January 2024, a Moldovan court found the interim president of BEM (between July 2013 and September 2014) guilty of embezzlement and sentenced him to 10 years in prison (Gulca 2024).

Context: Moldova 2014–2015	
GDP (SAAR, nominal GDP in USD)	\$9.4 billion in 2014
	\$7.8 billion in 2015
GDP per capita (SAAR, nominal GDP in USD)	\$3,290.0 in 2014
	\$2,749.6 in 2015
Sovereign credit rating (long-term debt)	Moody's: WR in 2014
	S&P: Data not available in 2014
	Fitch: NR in 2014
	Moody's: WR in 2015
	S&P: Data not available in 2015
	Fitch: NR in 2015
Size of banking system	\$3.1 billion in 2014
	\$2.4 billion in 2015
Size of banking system as a % of GDP	33.4% in 2014
	31.4% in 2015
Size of banking system as a % of financial system	92.5% in 2014
	92.2% in 2015
Five-bank concentration of banking system	78.8% in 2014
	85.5% in 2015
Foreign involvement in banking system	Data not available in 2014
	Data not available in 2015
Existence of deposit insurance	Yes in 2014
	Yes in 2015

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

1. **Purpose:** The NBM said that it provided emergency loans to the banks to avoid contagion and a systemic financial crisis; the NBM and government said that the emergency loans would cover only uninsured deposits while the banks were under special administration, but an official inquiry later determined most of the funds went to cover interbank loans.

In a review of the intervention several years later, the NBM said that the large number of depositors at the banks combined with the banks' size in the banking system meant that a disorderly resolution could result in bank runs and contagion, which could endanger the Moldovan financial system as a whole (NBM 2020). The NBM said that it made the emergency loans "to ensure financial stability in case of danger of [a] developing systemic financial crisis" (NBM 2015c, 46); the loans were meant to safeguard the entire domestic financial system and to protect the deposits of non-affiliated individuals and legal entities (Inquiry Commission 2019; NBM 2015b).

With few exceptions, the Moldovan government authorized the emergency loans only to pay out the deposits of individual depositors and state agencies at the three banks. The Inquiry Commission also said that the use of the loan proceeds was "very suspicious," citing the following breakdown of loan proceed uses: 64% for interbank loan repayments, 35% for legal entities holding deposits at BEM, and 1% for deposits of natural persons (Inquiry Commission 2019).

The NBM chose the banks for consideration in emergency aid because it concluded that the banks were insolvent and had misreported key balance sheet statistics. The NBM considered the banks systemically important. The banks' consolidated share of the banking system was 30.4% (NBM 2016; NBM 2020).

The NBM's adjusted consolidated balance sheet of the banks (see Figure 7 at Appendix) shows that the NBM considered the banks to have negative accounting equity as early as September 2014. The NBM's adjusted consolidated balance sheet showed that the banks, if treated as a consolidated entity, would have had negative equity of MDL 12.3 billion, compared to the positive equity of MDL 2.3 billion the banks reported (NBM 2020). According to the NBM, at the time of the emergency loans, the three banks had virtually no liquidity (Inquiry Commission 2019). According to the NBM Law, the NBM may extend credit under emergency situations to "solvent and viable banks that are experiencing temporary liquidity problems" (Moldovan Parliament 1995, art. 18[1]).

In 2011–2012, the IMF and World Bank recommended that the Moldovan government privatize BEM; as a result, the government, the NFSC, and the NBM created a strategic plan for BEM's privatization. In June 2013, the IMF and World Bank recommended a state-led recapitalization of BEM and subsequent privatization. From January–October 2014, the IMF and World Bank proposed to the NBM "repeatedly" that the NBM introduce special administration of the banks, but the NBM ignored those proposals (Inquiry Commission 2019).

During 2014, before the crisis, the Moldovan National Anticorruption Center (CNA) and the Security and Intelligence Service had provided “exhaustive information” to the government about deterioration in the financial sector as well as the NBM’s and government’s failure to address the issues (Inquiry Commission 2019).

In August of that year, the CNA proposed to the Moldovan government that it create a contingency plan for a financial crisis and require the banks to return investments from Russian financial institutions (Inquiry Commission 2019).

The NBM completed such a contingency plan on September 30, 2014, in collaboration with auditing company KPMG.¹² The contingency plan adjusted reported balance sheet data at the banks to account for their misreporting and misrepresentation of key supervisory measures. The contingency plan also estimated recovery costs in the case of resolution. (For the NBM’s adjusted balance sheets of the banks in September 2014, see Figure 7.) The analysis showed that while the banks reported a consolidated equity figure of MDL 2.3 billion, the banks’ adjusted consolidated equity was negative MDL 12.4 billion. At that time, the NBM estimated that the total cost of resolving depositor claims at the banks would be MDL 6.3 billion (NBM 2020). Figure 3 shows the NBM’s cost estimates for deposit coverage of the banks. For the NBM’s adjusted consolidated balance sheet of the banks in September 2014, see Figure 7.

Figure 3: NBM’s Cost Estimate for Depositor Payouts (MDL millions)

Balance Sheet Item	Banca de Economii	Banca Sociala	Unibank	Total
Total Deposits of natural persons	4,026.3	2,033.9	796.0	6,856.2
State deposits	1,561.3	464.3	196.2	2,221.8
<i>Total receivables for payment</i>	<i>5,587.6</i>	<i>2,498.2</i>	<i>992.2</i>	<i>9,078.0</i>
Liquid Assets	1,515.7	85.3	364.6	2,733.7
<i>Total Cost</i>	<i>4,071.9</i>	<i>1,644.8</i>	<i>627.6</i>	<i>6,344.4</i>

Source: Recreated from NBM 2020.

2. Part of a Package (A): The Ministry of Finance provided MDL 428.5 million in repo financing to BEM.

In the context of BEM’s involvement in the liquidation of another bank from 2010, and in order to limit BEM losses thereon, the Ministry of Finance provided MDL 428.5 million in repo financing to BEM, to be repaid (repurchased) on a quarterly basis in equal tranches, with a final maturity date of December 30, 2015 (Inquiry Commission 2019; NBM 2015c).

¹² The contingency plan relied upon KPMG’s special diagnostic audit of BEM conducted from February to May 2014, World Bank mission materials related to the situation of the three banks, and supervisory information as reported by the banks to the NBM (NBM 2020).

Part of a Package (B): The NBM placed the banks under special administration, suspended their banking licenses, and began liquidating their assets.

Per the government's decision (No. 938), the NBM's special administration over the banks was a condition for the state guarantee of the emergency loans (Inquiry Commission 2019; Leanca et al. 2014). However, there were delays between the disbursement of emergency loan funds and the imposition of special administration at BEM and UB (which prosecutors have claimed was intentional—see Summary Evaluation). In the case of BEM, the NBM granted the emergency loan on November 27 but did not impose special administration until the afternoon of November 28 (special administration should have begun in the evening of November 27). In the intervening time, BEM used emergency loan money to originate loans to customers (though prosecutors have alleged that those companies included Shor Group companies and, thereby, were part of the money laundering operation—see Summary Evaluation). In the case of UB, the NBM granted the emergency loan on November 30, but did not place UB under special administration until exactly one month later. The Inquiry Commission said that the imposition of special administration at UB was done “in a very suspicious manner” (Inquiry Commission 2019).

On October 16, 2015, the NBM withdrew the banking licenses of the three banks because of both their insolvency and their illegal conduct, assigned liquidators (NBM staff) to each bank, and began the process of liquidation (NBM 2015a).

Part of a Package (C): The NBM issued a moratorium on the repayment of various of the banks' liabilities.

Shortly after the first announcement of emergency loans on November 27, 2014, the NBM announced a moratorium until March 27, 2015, with respect to repayment of various of the banks' liabilities (Inquiry Commission 2019).

3. Legal Authority: The Law on the National Bank of Moldova authorized the emergency lending.

In granting the emergency loans, the NBM said:

[The] emergency loans have been granted under the provisions Article 5 e), Article 18 (par. 3) and Article 26 a) of the Law on the National Bank of Moldova No. 548-XIII of 21 July 1995, in the terms and conditions set out in the Regulation on emergency loan (approved by Resolution of the Board of Directors of the National Bank of Moldova no. 130 of May 28, 2012). (NBM 2015c, 46)

Article 18(1) of the NBM Law authorized the NBM to extend credit in emergency situations

- To solvent and viable banks¹³ that are experiencing temporary liquidity problems;

¹³ While our research did not uncover any NBM statements on the viability of the banks, the NBM said that the three banks had, in aggregate and individually, negative equity as of September 30, 2014 (NBM 2020).

- Secured against collateral enumerated in Article 18, paragraph 1 of the NBM Law (government securities, NBM securities, deposits at the NBM or other bank(s), or any other eligible assets as dictated by the NBM);
- For a term of three months, with allowable extension not exceeding one year;
- At a penalty rate (Moldovan Parliament 1995).

The “regulation on emergency loan” (Resolution No. 130 of May 28, 2012 of the Board of Directors of the NBM) was an internal rule that was never published in the Official Gazette of Moldova and was never registered with the Ministry of Justice (NBM 2019). Our research was unable to uncover the regulation.

On September 25, 2014, the Moldovan government amended the NBM Law, the Law on Financial Institutions, and the Law on Public Debt, State Guarantees and State Recrediting to issue state securities without parliamentary approval to recapitalize banks or to secure loans from the NBM to banks in situations of financial crisis. These amendments allowed the government to issue—without parliamentary approval—state securities for the purposes of bank capitalizations and guarantees of NBM bank lending. On November 7, 2014, the NSFC decided that the position of the banks represented a threat to national systemic financial stability and recommended that the Moldovan state provide guarantees to NBM emergency lending in order to avoid a crisis (Inquiry Commission 2019).

On November 27, 2014, the Supreme Court of Justice ruled that a previous share issuance at BEM—diluting the state’s share ownership from 56.7% to 33.3%—was illegal and overturned the share issuance, returning control of BEM to the state (Infotag 2014a; Infotag 2014b). NBM governor Dragutanu said that, as a result of the Supreme Court of Justice decision, BEM was returned to state ownership and that the NBM had to quickly intervene and impose special administration at BEM (prosecutors later said that delay for special administration was intentional or negligent—see Summary Evaluation) (Dragutanu 2014).

Law No. 419-XVI of December 22, 2006, regarding public debt, state guarantees and state recrediting (as amended in September 2014—see Figure 1) authorized the state guarantee of NBM loans (Inquiry Commission 2019). According to September 2014 amendments to Law No. 419, in the event of non-repayment of loans extended by the NBM during systemic crises, the state securities comprising the Ministry of Finance’s state guarantee become the property of the NBM in the amount of the full guarantee and unpaid interest. Law No. 419 stipulated that the Ministry of Finance could issue state guarantees without parliamentary approval only if issued during a systemic crisis or risk of one (Moldovan Parliament 2006). The Inquiry Commission said that the government did not announce a financial crisis or danger of one, which it said violated the law (though it did not specify which law) (Inquiry Commission 2019).

In 2015, NBM governor Dragutanu resigned following weeks of street protests related to the bank fraud scandal; he accused politicians of interfering with the NBM’s independence (Rusnac 2015).

In 2017, the NBM's internal audit department carried out an audit with respect to the legality of the loans and said that all emergency loans had been made consistent with all applicable rules and regulations and that there was no indication that the banks had used the emergency funds in any illegal manner (NBM 2020). A 2019 Parliamentary Inquiry Commission found that during the period of the banking crisis, the government and the NBM acted with abuse and gross negligence. As of 2019, the Anticorruption Prosecutor's Office had opened a criminal case on that subject (Inquiry Commission 2019).

In 2020, Moldovan prosecutors detained numerous former NBM staff—including then-governor of the NBM Dragutanu—in connection with the 2014–2015 interventions. Prosecutors also arrested the former special administrator of BEM (who also served as a department head at the NBM) for abuse of office in connection with the management of state guarantees of the NBM's lending. Also in 2020, prosecutors confiscated documents from the NBM related to its handling of the 2014–2015 interventions (Prijmireanu et al. 2021). Ultimately, numerous arrests and prosecutions were made by Moldovan authorities (see Summary Evaluation).

The Ministry of Finance issued the repo finance under the Law on Measures to Ensure Financial Stability, No. 190, of September 30, 2011 (NBM 2015c).

4. Administration: NBM special administrators of the banks administered the loans in concert with the NBM and an interagency special commission.

The emergency loan funds were transferred to the banks' current accounts held at the NBM (which contained the banks' other funds as well). Initially at least, the NBM had preauthorized multiple tranches of draws under the emergency loans (for example, MDL 5.3 billion to BEM in 11 tranches; see Figure 4 at Key Design Decision No. 7, Source and Size of Funding) (NBM 2020). Our research did not uncover whether the emergency loan draws were ultimately drawn in tranches.

Once the emergency loans were made, the special administrators from the NBM requested draws to pay out the depositors (see Key Design Decision No. 12, Other Conditions) (NBM 2020). See Figure 8 at Appendix for the payments made to depositors by depositor class.

5. Governance: NBM audits and legal reports disclosed key measures ex post.

On January 28, 2015, the NBM contracted the investigative consultancy Kroll to conduct an investigation into transactions among the three banks leading up to their special administration in 2014; Kroll furnished a preliminary report on April 2, 2015 (Kroll 2015). On December 20, 2017, Kroll produced a second-phase summary report examining the causes of the banks' collapse and identifying the perpetrators and beneficiaries of the bank fraud (Kroll 2017). Finally, on March 22, 2018, Kroll produced a third detailed report providing detailed analysis of fund flows and mechanisms by which the bank fraud was carried out by its perpetrators (Kroll 2018).

At the direction of parliament, in 2020, the NBM's internal audit department carried out an audit with respect to the legality of the loans and said that all emergency loans had been

made consistent with all applicable rules and regulations and that there was no indication that the banks had used the emergency funds in any illegal manners (see Key Design Decision No. 3, Legal Authority). The report disclosed the decision-making process behind the loans, legal authorities, sequence of events, loan amounts, the NBM's September 2014 contingency planning, and key details including the NBM's expected program cost and evaluation of the banks' balance sheets prior to November 17. The report did not discuss the loans' collateral or interest rates (NBM 2020).

On June 10, 2019, the Moldovan Parliament established the Inquiry Commission to investigate the bank fraud and systemic crisis of 2014. The Inquiry Commission published its final report on October 8, 2019. The Inquiry Commission said that the use of the loan proceeds was "very suspicious," citing the ultimate use of the loan funds (see Key Design Decision No. 1, Purpose). The report also said that more clarification was needed to explain why the NBM charged 10 bps on its emergency loans while the state debt securities issued to pay off the NBM emergency loans carried an interest rate of 500 bps (Inquiry Commission 2019); see Key Design Decision No. 8, Rates and Fees.

6. Communication and Disclosure: The NBM did not disclose the emergency loans on December 1, 2014, when it announced the special administration of BEM and Banca Sociala; the NBM announced the progress in special administration and liquidation via press releases starting in May 2015.

On November 24, 2014—11 days after the government decision to provide the loans—the Moldovan media outlet *NewsMaker* reported that the Cabinet of Ministers had decided to provide MDL 9.5 billion through the NBM to needy banks, although neither the prime minister's office nor the NBM confirmed or denied the reporting. A source at an EU member nation embassy in Moldova originally reported the development to *NewsMaker*, and the journalists confirmed the report by speaking with an individual in an international financial institution. While the details of the decision were kept secret by the government, one of the sources speaking with journalists said that most of the money would likely go to BEM; the article also names BS and UB as large Moldovan banks comprising the majority share of foreign funds to Moldovan banks, and banks that, in addition to BEM, were controlled by Shor (NewsMaker 2014).

When the NBM disclosed the lending in its 2014 annual report (which it published on its website on July 14, 2015), it said that it was a macroeconomically essential policy without which Moldova could have faced systemic financial instability (NBM 2015b). Starting in May 2015, the NBM began issuing press releases related to the status of the banks, their resolution and liquidation, and recovery of funds from them (NBM n.d.a).

In its financial statements for 2014, the NBM referred to its liquidity assistance as short-term loans and as "credit lines" with a limit (NBM 2015c). It also disclosed the size of the loans and the amounts used, as well as some details about the banks' financial positions at year-end 2014 (NBM 2015c).

In a press briefing on December 1, the NBM revealed that the government had appointed special administrators for BEM and Banca Sociala (Dragutanu 2014). A media report said that, in that press briefing, the president of the NBM directed media outlets to “show maximum attention and responsibility” when reporting on the banks so as not to provoke a banking crisis (Infotag 2014a).

On December 24, 2014, a monthly press release about the conditions of the banking sector noted the statistics for November were “strongly distorted” by suspicious and large transactions by the three banks (NBM 2014a).

The Inquiry Commission referred numerous times to decisions related to the emergency loans as “secret” (insofar as the decision excluded parliament) (Inquiry Commission 2019; Transparency International Moldova et al. 2017). The NBM only disclosed the emergency loans in its 2014 annual report, issued during the early part of the following year (see Key Design Decision No. 5, Governance). The Inquiry Commission said that the state guarantees were “undertaken in secret” and said that meetings of the NFSC were held in secret (Inquiry Commission 2019). The Inquiry Commission said that the government did not declare a financial crisis or the danger of one—in the Commission’s view, this violated the law (Inquiry Commission 2019).

News media reported BEM’s alleged role in money laundering and theft as early as February 2013, noting that the transactions began in 2008, as uncovered by the Russian anti-corruption attorney Sergei Magnitsky (RIA Novosti 2013). In 2012, Hermitage Capital—the American firm that Magnitsky represented—filed a complaint in Moldova alleging that USD 53 million of laundered money could be traced to BEM (Coalson and Solash 2013).

The special administrators issued monthly reports about the use of the emergency loans (NBM 2020).

7. Source and Size of Funding: The NBM provided the funds for the emergency loans, while the Moldovan government provided a state guarantee for those loans; the government later took over the debt and sold bonds to repay the NBM.

The NBM provided the emergency loans. The Moldovan government provided a state guarantee via the Ministry of Finance (see Key Design Decision No. 10(A), Collateral). The NBM said that the source of emergency loans granted to the three banks represented a “monetary issue” for the NBM (NBM 2020). The domestic money supply increased significantly in November 2014 and nearly all the increase was attributable to NBM lending to banks (see Key Design Decision No. 11, Impact on Monetary Policy Transmission). In October 2016, the Ministry of Finance paid out the loan to the NBM using funds (equal to MDL 13.3 billion, representing the MDL 12 billion in losses with an inflation adjustment) from the issuance of state debt (NBM 2016). At the time, the NBM said in a public statement that it faced billions of lei in credit losses on the emergency lending. The Ministry paid the NBM MDL 13.3 billion, representing the MDL 12 billion sum of the emergency loans “which were not repaid on the date of the issuance of the state bonds,” adjusted for inflation (NBM 2016).

Emergency lending totaled MDL 14.1 billion; the total authorized lending capacity was MDL 14.4 billion (see Figure 1 at Overview). The NBM initially authorized a total lending size of MDL 7.8 billion on September 30, 2014, but on November 13 authorized a larger MDL 9.4 billion in NBM emergency loans with a state guarantee (Inquiry Commission 2019; NBM 2020). That amount—MDL 9.4 billion—represented roughly a third of the Moldovan government’s budget at the time (NewsMaker 2014). In November and December of 2014, the NBM made loans to the banks for a total of MDL 9.4 billion in available credit, of which nearly all (98.9%) was drawn by the banks. In April 2015, the NBM expanded the facility, lending a second tranche of MDL 5.0 billion in available credit under the same terms, of which nearly all (96.5%) was drawn by the banks (NBM 2020). Figure 4 shows the loan amounts approved and used throughout 2014 and 2015.

Figure 4: Emergency Loan Amounts and Quantity Used (MDL millions)

Emergency Loans	Banca de Economii	Banca Sociala	Unibank	Total
Authorized as of Sept. 30, 2014 ^A	5,273.2	1,800.0	695.0	7,768.2
Used as of Sept. 30, 2014	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>	<i>n/a</i>
Authorized as of Nov.–Dec. 2014	5,273.2	2,807.8	1,353.5	9,434.5
Used as of Nov.–Dec. 2014 (%) ^B	5,273.2 (100.0)	2,700 (96.2)	1,353.5 (100.0)	9,326.7 (98.9)
Authorized as of April 2015	4,000.0	0.0	970.0	4,970.0
Used as of April 2015 (%)	4,000 (100.0)	<i>n/a</i>	795.0 (82.0)	4,795.0 (96.5)

^A The originally authorized amounts were to be paid out in installments as follows: BEM in 11 installments; BS in three installments; UB in six installments.

^B The NBM disclosed the used amounts as of December 31, 2014, in its 2014 annual report (whereas the figures in the table represent the amounts used until the second April 2015 tranche). Those reported figures were: BEM 4,800 (91.0); BS 1,500 (53.4); and UB 150 (11.1) (NBM 2015b). While the NBM made emergency loans to BEM and BS on November 27, 2014, it made the emergency loan to UB on December 30, 2014.

Source: Inquiry Commission 2019; NBM 2020.

While our research did not uncover a specific rationale for the sizes of the loans extended, it does not appear that the loans were made in close proportion to the individual banks’ share in the size of the total consolidated consortium. Figure 5 shows the aggregate authorized lending to each bank as a share of its reported total assets and liabilities.

Figure 5: Aggregate Authorized Lending (MDL millions) as Share of Consolidated Balance Sheet

	Aggregate Lending Authorized	Share (%)	Total Assets Reported	Share (%)
Banca de Economii	9,273.2	64.4	10,926.4	43.7
Banca Sociala	2,807.8	19.5	5,901.6	23.6
Unibank	2,323.5	16.1	8,147.8	32.6
<i>Total</i>	<i>14,404.5</i>	<i>100</i>	<i>24,975.8</i>	<i>100</i>

Source: NBM 2020.

8. Rates and Fees: The NBM charged 10 bps on the emergency loans. The NBM's policy rates at the time were significantly higher.

The NBM charged 10 bps annually on the emergency loans. In 2014, the average interest rate on NBM repo facility¹⁴ borrowing was 412 bps. Loans made by the NBM for construction purposes in the same year carried an interest rate of 1,000 bps. The average interest rate on the NBM's portfolio of Moldovan government securities was 457 bps (NBM 2015c). By law, the NBM was required to lend at a penalty rate (see Key Design Decision No. 3, Legal Authority).

In a post on its webpage, the NBM posted a question-and-answer section about the interest rate charged on the emergency lending with the title "Why was the interest on emergency loans only 0.1%?" (NBM 2016). In its response, the NBM explained that a higher interest rate would have reduced available bank assets to repay depositors and was responsive to the limited credit servicing abilities of the banks in their troubled states (NBM 2016).

9. Loan Duration: The emergency loans had a four-month duration.

The emergency loans had a four-month duration. The NBM made the emergency loans on November 27, 2014, with a maturity date of March 27, 2015 (NBM 2015c). While our research did not uncover a formal renewal, the banks were under special administration and by October 2015 were put into liquidation; the loans had not been repaid at that point (see Key Design Decision No. 2(B), Part of a Package). By October 2016, the NBM had not been repaid in full and was fully compensated for its exposure on the emergency loans by the Ministry of Finance (NBM 2016). As of year-end 2022, the banks were still in the process of liquidation and had repaid a total of MDL 2.7 billion, with a remaining balance of MDL 11.4 billion outstanding (NBM 2023).

On October 5, 2016, the Ministry of Finance announced that it had enacted the state guarantee of NBM emergency lending by repaying the NBM with proceeds from the issuance

¹⁴ The NBM's repo facility comprised repurchase operations with bank counterparties for state securities, the aim of which was liquidity provision (NBM 2014b).

of sovereign debt (NBM 2016). According to September 2014 amendments to Law No. 419, in the event of nonrepayment of loans extended by the NBM during systemic crises, the Ministry of Finance was legally obligated to transmit state securities that constituted the state guarantee to the NBM (see Key Design Decision No. 3, Legal Authority) (Moldovan Parliament 2006). But even if the Ministry of Finance had not exercised its state guarantee, the NBM would have been left with negative equity and reserves. By law, in the event that the NBM had negative equity, the Ministry of Finance would have had to recapitalize the NBM by issuing debt (in other words, the Ministry of Finance would have had to recapitalize the NBM in either case).¹⁵ To implement the state guarantee, the Ministry of Finance issued MDL 13.3 billion in government bonds with a 25-year maturity and interest rate of 500 bps (NBM 2016).

As of 2019, MDL 13.3 billion remained outstanding from the emergency loans, and the Moldovan government estimated that the conversion of that debt into state debt would cost MDL 25 billion over a period of 25 years (Inquiry Commission 2019). As of December 31, 2022, the NBM reported that the three banks were still in the process of liquidation and had repaid a total of MDL 2.7 billion, with a remaining balance of MDL 11.4 billion outstanding. After having been compensated by the Ministry of Finance for the remaining balance of the emergency loans, the NBM continued to liquidate assets from the banks as part of its normal bank resolution process; asset liquidations would pay off the banks' outstanding liabilities in resolution (NBM 2023).

10. Balance Sheet Protection (A): The NBM secured collateral against the emergency loans, but we were not able to determine what type.

According to the NBM, as of December 31, 2014, collateral pledged by all licensed banks in Moldova against all loans made by the NBM—including the emergency loans (“the one under State guarantee”)—were MDL 9.7 billion (NBM 2015c, 47).

Pursuant to the NBM Law, emergency credit must be secured against collateral enumerated in Article 18: government securities, NBM securities, deposits at the NBM or other bank(s), or any other eligible assets as dictated by the NBM (see Key Design Decision No. 3, Legal Authority) (Moldovan Parliament 1995). While our research did not uncover what specific collateral secured the loans, the NBM's internal audit concluded that the emergency loans were made in accordance with the NBM Law, without addressing the issue of collateral (see Key Design Decision No. 3, Legal Authority).

In its 2014 financial statements, the NBM said that, given the “specific nature” of the emergency loans and the fact that they were state-guaranteed, it did not need to account for impairment losses on the emergency loans (NBM 2015c, 46).

¹⁵ Although, in the case that the NBM had defaulted, recorded negative equity, and been recapitalized by the Ministry of Finance, the recapitalization would have occurred in annual stages over five years (and at an estimated higher interest rate of 785 bps) instead of at one time (NBM 2016).

Balance Sheet Protection (B): The NBM obtained a state guarantee of its emergency lending.

The NBM was secured in its lending by a guarantee from the government of Moldova. On November 7, 2014, the NFSC held a meeting in which it noted the risks of a systemic crisis and proposed state guarantees of NBM loans of up to MDL 9.4 billion to secure the NBM in its lending to troubled banks. According to the NBM, at the time the three banks had virtually no liquidity. On November 13, 2014, the government approved the NFSC's proposal for MDL 9.4 billion in state guarantees for NBM emergency loans to licensed banks in order to ensure systemic financial stability; neither the NBM nor the government publicly disclosed these decisions at the time (Inquiry Commission 2019; NBM 2020).

The state guarantees specified that guaranteed NBM emergency loans only be used to pay depositors not identified to be associated with money laundering or terrorism financing (Inquiry Commission 2019).

On October 5, 2016, the Ministry of Finance implemented its state guarantee of the emergency loans by issuing sovereign debt and transferring the proceeds from that issuance to the NBM, thus compensating the NBM in full for its outstanding exposures and ensuring that the NBM remained fully capitalized (NBM 2016).

11. Impact on Monetary Policy Transmission: The NBM said that the emergency loan was a “monetary issue.” The NBM expanded the domestic money supply through the emergency lending, but the overall money supply mildly contracted as a result of foreign reserves depletion.

The Economist reported that the “huge expansion” of the money supply caused a doubling of inflation and currency devaluation (The Economist 2015). The NBM said that the source of emergency loans granted to the three banks represented a “monetary issue” for the NBM (NBM 2020). Nonetheless, the broadest measure of the money supply available—M3—decreased month-on-month in November 2014.

This is because of the countervailing effect of foreign exchange intervention. While the NBM expanded net domestic assets by MDL 3.6 billion (almost entirely as a result of bank loans), it also decreased its foreign reserve assets by MDL 3.7 billion in foreign exchange market interventions or other transactions that resulted in a drop in official foreign reserves;¹⁶ this resulted in a small net decrease in the overall money supply. In other words, the domestic money supply increased significantly (52.2%) as a result of NBM bank lending (the vast majority of the expansion of the domestic money supply was an increase in claims on banks), while the foreign component of the money supply—foreign reserves—decreased (-11.2%) as a result of foreign reserves transactions. Figure 6 shows the changes to the constituent parts of the broad monetary base, according to the NBM.

¹⁶ Such as sales of monetary gold or Special Drawing Rights.

Figure 6: Changes to the Money Supply, October–November 2014 (MDL millions)

National Bank of Moldova	Monthly Change Oct. – Nov. 2014
Net foreign assets	-3,704.48
(a) Net Official Reserve Assets	-3,667.24
(i) Official Reserve Assets ^A	-3,673.92
(ii) Foreign bonds	6.68
(b) Other net external assets	-37.25
Net domestic assets	3,621.83
(a) Net domestic demands	4,061.70
(i) Net claims on government	273.65
(ii) Net claims on banks	3,788.06
(b) Other items (net)	-439.88
The monetary base in the broadest sense	-82.66

^A Official reserve assets comprise official foreign reserves (foreign exchange, monetary gold, Special Drawing Rights, etc.).

Note: Net foreign assets + net domestic assets = the monetary base in the broadest sense.

Source: NBM n.d.b.

As the leu continued to depreciate against the dollar, a similar dynamic of decreasing aggregate money supply coupled with a depreciating currency and increasing inflation continued in the months following the emergency loan.

In response to the jump in inflation (which *The Economist* said was caused by the emergency aid), the NBM raised its benchmark interest rate from 850 bps in January 2015 to 1,550 bps by August 2015 (*The Economist* 2015) (see Figure 1).

On October 5, 2016, the Ministry of Finance announced that it had replaced the state guarantee of NBM emergency lending with state securities—in other words, it converted the loans initially funded by monetary expansion into fiscal debt (NBM 2016).

12. Other Conditions: The NBM and a coalition of Moldovan government authorities created a special commission to ensure that deposit payouts were made only to depositors in compliance with antiterrorism financing and money-laundering regulations.

The NBM and Ministry of Finance permitted the use of the emergency loans only to pay out the banks' deposits¹⁷ and only those not associated with money laundering. An interagency

¹⁷ Moldova's deposit insurance at the time—the lowest coverage in Europe—covered only MDL 6,000 in deposits (IMF 2016b). While our research did not uncover explicit mention of the fact that the emergency funds were meant to cover deposits *over the existing deposit insurance threshold*, the Deposit Guarantee Fund (DGF) did in fact pay out deposits, but only worth MDL 159,605. The NBM did not activate the DGF in full; if the DGF had been fully activated for all eligible deposits, it would have covered roughly MDL 800 million (although the

special commission verified designated depositors (natural persons or organizations with deposits equal to or greater than MDL 500,000) to ensure that depositors were not associated with money laundering. To assess which individuals or businesses were identified in these categories, the Ministry of Finance, NBM, Ministry of Economy, Ministry of Internal Affairs, Information and Security Service, and the National Anticorruption Center set up a special commission to analyze the deposit balances of individuals and businesses to determine which were associated with money-laundering activities (Inquiry Commission 2019). In addition to deposits associated with money laundering, most foreign accounts were also excluded from coverage by the emergency loans (the Russian deposits on which the banks relied to originate new loans were later shown to have never existed, but were rather fraudulent entries in the banks' supervisory reporting to the NBM) (Kroll 2017; NBM 2020).

Additionally, the NBM imposed restrictions on certain liabilities payments (see Key Design Decision No. 2(C), Part of a Package).

DGF did not, at the time, have sufficient liquidity to cover such payouts and would have had to raise funding to do so) (Rata 2017).

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Appendix

Figure 7: NBM's Adjusted Estimate of the Consortium's (Banca de Economii, Banca Sociala, Unibank) Consolidated Balance Sheet, 2014 (MDL millions)

Balance Sheet Item	Banca de Economii		Banca Sociala		Unibank		Total	
	Reported	Adjusted	Reported	Adjusted	Reported	Adjusted	Reported	Adjusted
Cash	416.2	416.2	149.3	149.3	89.3	89.3	654.8	654.8
Reserves at NBM	767.3	767.3	441.1	441.1	210.9	210.9	1,419.3	1,419.3
Overnight bank funding	5,607.8	35.2	1,821.0	192.0	3,489.7	17.5	10,918.5	244.7
Securities (net)	413.4	297.0	71.0	71.0	66.9	46.9	551.3	414.9
Loan portfolio (net)	3,225.4	463.6	3,101.6	809.8	4,229.1	267.9	10,556.1	1,541.3
Other assets (net)	496.3	181.0	317.7	92.7	61.9	20.9	875.9	294.6
Total Assets	10,926.4	2,160.3	5,901.6	1,755.9	8,147.8	653.5	24,975.8	4,569.7
Total deposits of natural persons	4,026.3	4,026.3	2,033.9	2,033.9	796.0	796.0	6,856.2	6,856.2
Total deposits of legal entities	2,762.6	2,762.6	1,627.2	1,627.2	922.2	922.2	5,312.0	5,312.0
Cash owed to banks	1,774.6	143.4	887.4	46.3	3,808.0	591.4	6,470.0	781.1
Other liabilities	1,326.1	1,209.7	628.4	628.4	2,128.1	2,128.1	4,082.6	3,966.2
Total Liabilities	9,889.7	8,142.1	5,176.9	4,335.8	7,654.3	4,437.6	22,720.9	16,915.5
Total Equity	1,036.7	(5,981.7)	724.7	(2,579.9)	493.5	(3,784.2)	2,254.9	(12,345.8)
Total Equity + Liabilities	10,926.4	2,160.3	5,901.6	1,755.9	8,147.8	653.4	24,975.8	4,569.7

Source: Recreated from NBM 2020.

Figure 8: Consortium's Net Payments Under Special Administration (MDL Millions)

Liability Class	Banca de Economii		Banca Sociala		Unibank	
	Amount	Share (%)	Amount	Share (%)	Amount	Share (%)
Deposits of natural persons	4,226.8	40.0	2,003.0	58.2	704.6	30.5
CNAM and CNAS means	0.0	0.0	33.0	1.0	115.0	5.0
Means of territorial administrative unit budgets	7.4	0.1	0.0	0.0	0.3	0.0
Means of state enterprises and state companies ^A	0.0	0.0	188.2	5.5	103.0	4.5
Deposits of private equity companies and others ^B	2,480.9	23.5	722.2	21.0	1,384.6	60.0
Receivables related to government loans for the purpose of recrediting	0.0	0.0	305.4	8.9	0.0	0.0
Receivables from international financial orgs.	0.0	0.0	58.6	1.7	0.0	0.0
Special means and funds of public institutions from the state budget	9.7	0.1	2.6	0.1	0.0	0.0
Means of diplomatic and consular missions of foreign states and international orgs. in Moldova	0.0	0.0	61.3	1.8	0.0	0.0
Funds of licensed financial institutions ^C	2,558.4	24.2	64.3	1.9	0.0	0.0
Investment project funds from external grants and loans	769.4	7.3	0.1	0.0	0.0	0.0
Loans from the NBM	119.0	1.1	0.0	0.0	0.0	0.0
Loans except NBM	187.4	1.8	0.0	0.0	0.0	0.0
Other	217.4	2.1	0.0	0.0	0.0	0.0
Total	10,576.4	100.0	3,438.7	100.0	2,307.5	100.0

^A State companies are defined as those in which the state owns a 25% or greater share in the company's equity.

^B Other entities in this category include sole proprietorships, bailiffs, notaries, lawyers, and insolvency administrators.

^C Except those of financial institutions under Special Administration.

Source: NBM 2020.

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